

# ECONOMICS

***Maximum Marks: 80***

***Time allowed: Two hours***

1. *Answers to this Paper must be written on the paper provided separately.*
  2. *You will **not** be allowed to write during the first 15 minutes.*
  3. *This time is to be spent in reading the question paper.*
  4. *The time given at the head of this Paper is the time allowed for writing the answers.*
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5. *Attempt **all** questions from **Section A** and **any four** questions from **Section B**.*
  6. *The intended marks for questions or parts of questions are given in brackets [ ].*

## ***Instruction for the Supervising Examiner***

*Kindly read aloud the Instructions given above to all the candidates present in the Examination Hall.*

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**This Paper consists of 11 printed pages and 1 blank page.**

**SECTION A (40 Marks)**  
(Attempt *all* questions from this *Section*.)

**Question 1**

[16]

Choose the correct answers to the questions from the given options.

(Do not copy the question, write the correct answers only.)

- (i) *Bureau of Indian Standards* (BIS) is a \_\_\_\_\_ *measure* of the government to protect the consumers from exploitation by retailers or producers.
- (a) Commercial
  - (b) Technical
  - (c) Administrative
  - (d) Welfare
- (ii) Which of the following is an example of *geographical division* of labour?
- (a) Concentration of jute mills in Kolkata
  - (b) Work done in an apparel industry
  - (c) Cardiologist doctor
  - (d) IT Professional
- (iii) Identify the type of *government borrowing*, that is *not repaid* but carries a *fixed interest* over time.
- (a) Redeemable debt
  - (b) Irredeemable debt
  - (c) Funded debt
  - (d) Unfunded debt

- (iv) Observe the image and *determine the elasticity of demand* it represents.



- (a) Elastic
- (b) Unit elastic
- (c) Inelastic
- (d) Perfectly elastic
- (v) **Assertion (A):** Expenditure associated with the *construction* of highways is capital expenditure.
- Reason (R):** Capital expenditure *increases productive capacity* of the economy by creating new assets.
- (a) (A) is true, but (R) is false.
- (b) (A) is false, but (R) is true.
- (c) Both (A) and (R) are true, and (R) is the correct explanation of (A).
- (d) Both (A) and (R) are true, but (R) is not the correct explanation of (A).

- (vi) **Statement 1:** During inflation, *producers* tend to *gain*.  
**Statement 2:** *Cost push* inflation is mainly caused by *rise in wages*.
- (a) Both Statement 1 and Statement 2 are true.
  - (b) Both Statement 1 and Statement 2 are false.
  - (c) Statement 1 is true and Statement 2 is false.
  - (d) Statement 1 is false and Statement 2 is true.
- (vii) From the following, select the correct example of *financial capital*:
- (a) Stock of raw material
  - (b) Debenture and bonds
  - (c) Revenue received for sale of products
  - (d) Purchasing equipment
- (viii) In India, all currency notes (except coins) carry the *signature* of *RBI Governor*. This highlights which *function* of the Reserve Bank of India?
- (a) Custodian of foreign exchange
  - (b) A lender of last resort
  - (c) Monopoly of note issue
  - (d) Banker to the government
- (ix) Which of the following is **NOT** a stage of *capital formation*?
- (a) Creation of savings
  - (b) Mobilisation of savings
  - (c) Investment of savings
  - (d) Storage of savings

- (x) Study the relationship in the *first pair* of words and complete the *second pair*:

Soap industry : Monopolistic competition

Car industry : \_\_\_\_\_

- (a) Perfect competition
  - (b) Monopolistic competition
  - (c) Oligopoly
  - (d) Monopoly
- (xi) When *money* functions as a *unit of account*, it primarily helps in:
- (a) Developing accounting system
  - (b) Making future payments
  - (c) Storing value
  - (d) Transfer of purchasing power
- (xii) *Price discrimination* is a distinguishing feature of which form of market?
- (a) Oligopoly
  - (b) Monopolistic competition
  - (c) Monopoly
  - (d) Perfect competition
- (xiii) *Current Account* in commercial banks typically offer:
- (a) High interest rate and limited transactions
  - (b) No interest and unlimited transactions
  - (c) Interest only for senior citizens
  - (d) Monthly interest with withdrawal limit

(xiv) *Land as a factor of production is heterogeneous in nature due to difference in fertility.*

(a) True

(b) False

(xv)



Which *concept* does the above image *primarily* illustrate?

(a) Homogenous product

(b) Perfect composition

(c) Product differentiation

(d) Sales promotion

(xvi) If the *goal* of the firm is *sales maximisation*, \_\_\_\_\_.

(a) less quantity will be supplied at high price

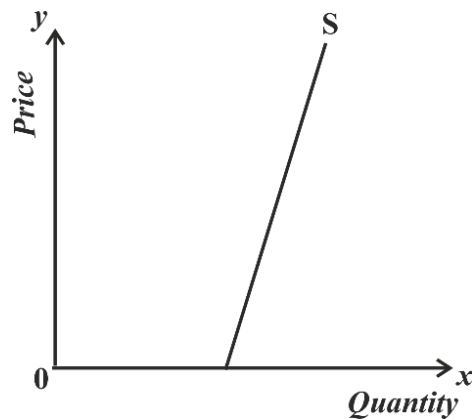
(b) more quantity will be supplied at high price

(c) more quantity will be supplied even at low price

(d) more quantity will be supplied even at the same price

### Question 2

- (i) Explain the term *Public Finance*. [2]
- (ii) “*Capital is a man-made factor of production.*” [2]  
Justify the statement with suitable reason.
- (iii) Explain the term ‘*Moral Suasion*’ as a qualitative tool of credit control. [2]
- (iv) Study the image and determine whether the supply is elastic or inelastic. [2]  
Support your answer with a brief explanation.

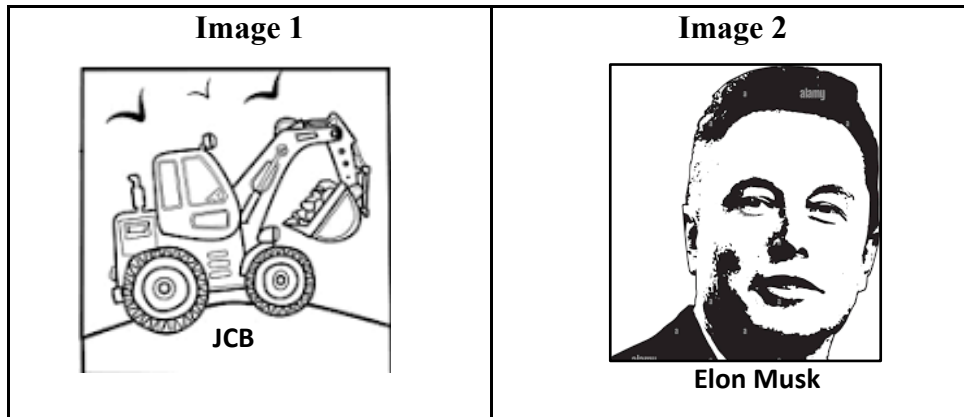


### Question 3

- (i) What is *Demand pull inflation*? [2]
- (ii) How is *simple* division of labour different from *complex* division of labour? [2]
- (iii) Explain the term *Revenue Expenditure*. [2]

(iv) Analyse the following images.

[2]



- (a) *Identify* the factors of production in Image 1 and in Image 2.
- (b) State *one* point of difference between the identified factors of production.

#### Question 4

- (i) How is '*ignorance*' an exception to law of demand? [2]
- (ii) '*Improved technology affects the productivity of land.*' Explain the statement. [2]
- (iii) Differentiate between *compulsory debt* and *voluntary debt*. [2]
- (iv) If you wish to buy Colgate toothpaste, the shopkeeper forces you to purchase Pepsodent. **Explain** which of your consumer *rights* is being violated. [2]



## SECTION B (40 Marks)

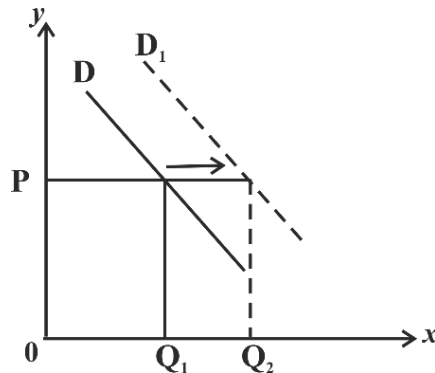
(Attempt **any four** questions from this Section.)

### Question 5

- (i) (a) What do you mean by *Capital Formation*? [5]
- (b) Explain *any three* significance of Capital Formation.
- (ii) What are *five* key characteristics of labour as a factor of production? [5]

### Question 6

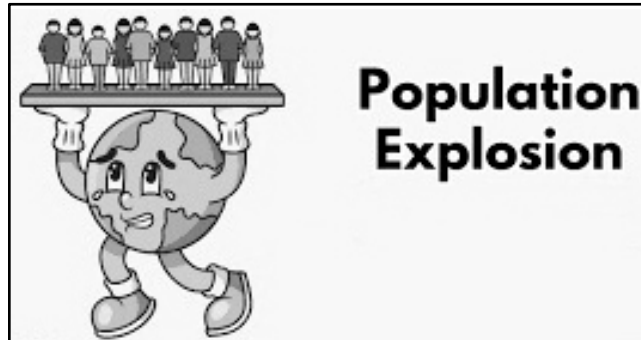
- (i) With reference to the diagram given below, answer the following: [5]



- (a) Identify the change in demand.
- (b) Mention *three* reasons for the shift of demand curve.
- (ii) (a) What is *Commercial Bank*? [5]
- (b) State and explain any two ways by which the Commercial Banks accepts deposit from the general public.

### Question 7

- (i) Write *any five* points of difference between *Direct Tax* and *Indirect Tax*. [5]
- (ii) Examine the given image and answer the following questions. [5]



- (a) Which *category of inflation* does it illustrate?
- (b) Explain *any three* causes of the categorised (a) type of inflation.

### Question 8

- (i) *In cities, several fruit-stands sell apples during the harvest season. Each stand sells identical apples at the same price.* [5]
- (a) *Identify* the type of market observed in this scenario.
- (b) *Justify* your answer by highlighting the *three* key characteristics of this market.
- (ii) With reference to '*Consumer Awareness*', answer the following: [5]
- (a) Explain the term *Consumer Awareness*.
- (b) State *any three* duties of a consumer.

### Question 9

- (i) (a) Define *supply*. [5]  
(b) Explain *any three* factors affecting supply of commodities.
- (ii) With the help of a ***diagram, explain*** expansion of demand. [5]

### Question 10

- (i) Write *five* points of difference between Monopoly and Monopolistic competition. [5]
- (ii) Read the extract and answer the following questions: [5]

*Ravi, a flower farmer observed a sudden rise in the price of roses due to high demand caused by an upcoming festival. However, Ravi is unable to increase the quantity of roses supplied to the market, because it takes weeks to grow new roses. As a result, even with the rise in price, the quantity supplied remains nearly the same.*

- (a) Based on the extract, mention if the supply of roses is elastic or inelastic.
- (b) Explain *any three* factors that affect the elasticity of supply.